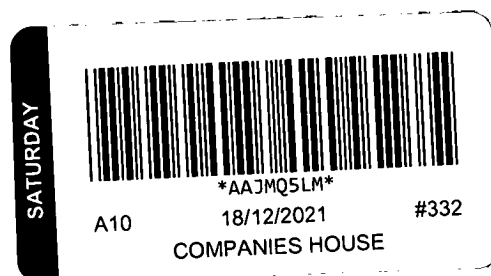


Alpha Financial Markets Consulting UK Limited

Annual report and financial statements

Registered number 04710715

31 March 2021



Contents

Company information	1
Strategic report	2
Directors' report	5
Statement of Directors' responsibilities in respect of the strategic report and the Directors' report and the financial statements	7
Independent Auditor's Report to the Members of Alpha Financial Markets Consulting UK Limited	8
Profit and Loss Account	11
Balance Sheet	12
Statement of Changes in Equity	13
Notes	14

Company Information

Directors

ENB Fraser
JC Paton
S McNulty
B Lantorp (Resigned 27 November 2020)
KR Taylor (Resigned 27 November 2020)
N Fienberg (Resigned 27 November 2020)
OJ Vinden (Resigned 27 November 2020)
N Spencer (Resigned 30 November 2020)
AJ Glessing (Resigned 2 December 2020)
B Scaysbrook (Resigned 3 December 2020)
B West (Resigned 3 December 2020)
G Faragher-Thomas (Resigned 3 December 2020)
NS Curham (Resigned 3 December 2020)
K O'Shaughnessy (Resigned 6 December 2020)
A Heasman (Resigned 7 December 2020)
D Spencer (Resigned 7 December 2020)
GD Glass (Resigned 7 December 2020)
J Docker (Resigned 7 December 2020)
JP Benson (Resigned 7 December 2020)
J Reed (Resigned 7 December 2020)
MD Smith (Resigned 8 December 2020)

Company number

04710715

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

Bankers

Lloyds Bank Plc
10 Gresham Street
London
EC2V 7AE

HSBC Bank UK
71 Queen Victoria Street
London
EC4V 4AY

Strategic report

Business review

For the year ended 31 March 2021 (FY 21¹), the Company recorded a turnover of £48,482,000 (FY 20: £47,031,000). Profit after tax increased 7.7% to £10,445,000 (FY 20: £9,695,000). Improved profitability is driven by a significant reduction in discretionary expenditure, staff entertainment costs and employee travel, as a result of the prevalence of the COVID-19 pandemic throughout the financial year, offset by an increased level of Group² recharges. Gross profit was £20,310,000 (FY 20: £20,156,000), reflecting revenue growth, alongside continued investment in our people and a resilient fee rate performance in a competitive market. The Company's team of consultants is slightly up, closing at 161 at the year end (FY 20: 157), reflecting the Company's commitment to retaining the best talent despite a challenging macro-economic environment. Trade receivables stayed consistent at £7,923,000 compared to £7,321,000 in FY 20, due to continued strong cash collection and increased revenue in the year. There are no concerns about the recoverability of the main unprovided debtors.

Future developments

The business plan developed by the Directors shows growth is expected to continue in the forthcoming year despite a return in the Company's cost base to pre-COVID-19 levels. The Directors are confident of achieving their plan for the year ahead, based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the pipeline of future opportunities.

Key performance indicators

The Directors monitor performance on a monthly basis using a range of financial and non-financial metrics. Working capital management is the primary indicator which is reviewed on a more frequent basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each trading Group undertaking and compare actual performance against budget. Costs, utilisation, and fee rates are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company is subject to only limited risk in the short and medium term as the future pipeline of work is good. The Company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management continue to operate conservative cash management policies. The Directors are satisfied with performance for the year.

Risk management and the year ahead

The Directors are pleased with trading in a year of huge challenge and uncertainty with the ongoing impacts of the COVID-19 pandemic. The Directors took pre-emptive actions in the first half of the year to preserve financial flexibility, including temporary salary sacrifices made by the wider Director team and the deferral of employee profit share payments. However, the Company's financial performance strengthened throughout the year and all precautionary final measures in response to COVID-19 were withdrawn and reversed.

The Company enjoyed growing momentum through the second half of the year and that has continued into the early part of the new financial year, along with an excellent pipeline of new business opportunities under discussion. The Directors therefore look to the future with confidence.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she considers, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- The likely consequence of any decision in the long term;
- The interests of the Company's employees;
- The need to foster the Company's business relationships with suppliers, customers and others;
- The impact of the Company's operations on the community and the environment;
- The desirability of the Company maintaining a reputation for high standards of business conduct; and
- The need to act fairly as between members of the Company.

¹ FY 21 is the financial year covering the 12 months to 31 March 2021. By comparison, FY 20 is the previous financial year covering the 12 months to 31 March 2020; FY 22 is the subsequent financial year covering the 12 months to 31 March 2022

² Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

Strategic report (continued)

Section 172 statement (continued)

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under section 414CZA of The Companies Act 2006.

The Directors remain committed to engaging with all of the Company's stakeholders and considering their interests when making any strategic decisions.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not re-disclosed those disclosures required by the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on our website in the Group's 'Annual Report & Accounts 2021' on pp.74-77.

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, its shareholders, its clients and the communities in which the Company operates. The Board also recognises other stakeholder groups including suppliers, industry bodies and competitors with whom Alpha works or associates in the marketplace. The Board understands that engaging with these stakeholders strengthens the Company's business relationships and facilitates its decision making at an executive level, which is very important for Alpha's long-term success.

Employees

Attracting, retaining and developing the very best people in the industry is integral to the Company's culture and ongoing success. The Company is committed to providing a highly rewarding place to work, and to maintaining a unique and inclusive culture that places people at the heart of the business. To achieve this, there is a strong emphasis on interaction, open communication and the exchange of proactive insights from the employee base. Employee feedback has always been a significant component of that picture. An inclusive environment for all employees is encouraged through the prevalence of the Company's Diversity & Inclusion programme, and employees are incentivised to engage further with the wider objectives of the business through a generous profit share scheme, and a share incentive plan available to senior management.

Clients

Alpha's successful business model is built upon keeping clients' needs at the core of its proposition, which includes the Company's geographic network, the services it offers and the types of project that it delivers. Central to Alpha's growth strategy is continuous investment in people, locations and knowledge to help all clients address their challenges and best capitalise on opportunities. The Company holds a very strong emphasis on developing and sustaining long-term client relationships.

Communities

Alpha is committed to building positive relationships with the communities and environment in which it operates. This includes supporting communities and organisations local and relevant to the Company's operations; and considering how to maximise the benefits and minimise the downsides of its environmental and social impacts.

Please refer to pp 34-36 of the Annual Report & Accounts 2021 of the ultimate parent company (Alpha Financial Markets Consulting Plc) for further detail on the above key stakeholders of the Company, and the Company's approach to engagement with each class of stakeholder.

Strategic report (continued)

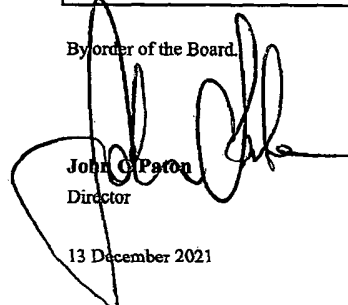
Key Director decisions during the year

The Directors consider the following to be key decisions and considerations they have made in the year to 31 March 2021.

For further information please refer to p.37 of the Annual Report & Accounts 2021 of the Company's ultimate parent (Alpha Financial Markets Consulting Plc).

Decision	Considerations
Issued the FY 20 Annual Report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act and the relevant accounting framework.
The Board considered the impacts of COVID-19 and the mitigating measures, including short-term reductions to the remuneration of the Board, senior leadership and broader Alpha director team.	To address the long-term interests of all stakeholders and protect the Company's balance sheet.
The Board reviewed the results of an employee engagement plan and approved a number of initiatives to be carried out by the Global Management Board and the HR team.	To understand the feedback provided by employees, to take appropriate actions and to ensure the ongoing engagement of Alpha's employees in respect of implementing positive changes. When reviewing the actions to be implemented, the Board considered the financial consequences and the impact on long-term value and growth for the shareholders.
The Board agreed the FY 21 interim dividend payable to the Company's parent, Alpha Financial Markets Consulting Group Limited.	To facilitate the payment of Group dividends to the shareholders of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.
The Board agreed a provision to repay an element of the salary sacrifice agreed earlier in the year.	To incentivise the management of the Company and ensure the alignment of interests between employees and shareholders.
The Board considered the Company's strategic priorities at its dedicated strategy sessions.	To ensure the strategy is still appropriate and to review progress against strategic goals.

By order of the Board



John G. Paton
Director

13 December 2021

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2021.

Principal activities

The principal activity of the Company continued to be the provision of consulting and related services to clients in the asset, wealth management and insurance industries.

Results and dividend

The results for the year are set out in the attached profit and loss account.

During the year, an ordinary dividend payment totalling £10,000,000 was made to the Company's sole shareholder Alpha Financial Markets Consulting Group Limited (FY 20: £10,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 20: £nil).

For further information on the likely future developments of the business, please refer to the strategic report.

After deducting taxation, £10,445,000 profit was transferred to reserves (FY 20: £9,695,000).

Directors

The Directors who held office during the year were as follows:

ENB Fraser

JC Paton

S McNulty

B Lantorp (Resigned 27 November 2020)

KR Taylor (Resigned 27 November 2020)

N Fienberg (Resigned 27 November 2020)

OJ Vinden (Resigned 27 November 2020)

N Spencer (Resigned 30 November 2020)

AJ Glessing (Resigned 2 December 2020)

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GD Glass (Resigned 7 December 2020)

J Docker (Resigned 7 December 2020)

JP Benson (Resigned 7 December 2020)

J Reed (Resigned 7 December 2020)

MD Smith (Resigned 8 December 2020)

Political contributions

The Company made no political donations and incurred no political expenditure during the year.

Employee involvement

The health and welfare of the Company's employees remains a key priority for the Directors, as reflected by the Company's position on the 'Sunday Times 100 Best small companies to work for' 2017-2020, and in the 'UK's 100 Best Large Companies to Work for' in 2021. The Company has the intent to attract, recruit, develop and retain key employees, and the Company maintains policies and procedures on the Group intranet, with access to this documentation provided to employees via the Company's Human Resources department. Appropriate education and training and development opportunities are provided to all employees to encourage continuous development, and employees are kept abreast of key financial and economic updates on the Company's performance and other matters on a regular basis, and in monthly meetings hosted by senior management, where employees have an opportunity to raise questions or provide feedback.

Directors' report (continued)

Employee involvement (continued)

It is the Company's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. The Company aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

The Company provides an opportunity for increased employee engagement with the Company's performance through the employee share incentive scheme and the Company's profit share scheme.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

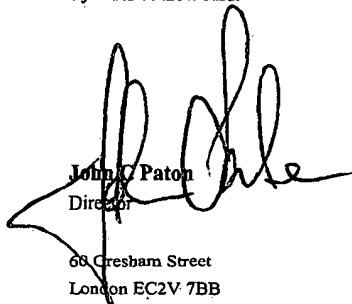
Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton
Director
68 Gresham Street
London EC2V 7BB

13 December 2021

Statement of Directors' responsibilities in respect of the strategic report, the Directors' report and the financial statements

The Directors are responsible for preparing the strategic report, the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting UK Limited ("the Company") for the year ended 31 March 2021 which comprise the profit and loss account, balance sheet, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2021 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the Directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of Directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that revenue is recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries, and the risk of bias in accounting estimates and judgements such as share-based payment assumptions.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;
- Identifying revenue transactions to test based on unusual pairings with a credit or debit to revenue;
- Assessing significant accounting estimates for bias.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited (continued)

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the Directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The Directors are responsible for the strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 7, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited (continued)

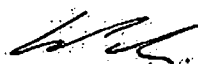
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants

St Nicholas House

31 Park Row

Nottingham

NG1 6FQ

13 December 2021

Profit & loss account
for the year ended 31 March 2021

	Note	Year ended 31 March 2021 £000	Year ended 31 March 2020 £000
Turnover	2	48,482	47,031
Rechargeable expenses	2	(51)	(841)
Net fee income	2	48,431	46,190
Cost of sales	4	(28,121)	(26,034)
Gross profit		20,310	20,156
Administrative expenses	5	(7,712)	(8,414)
Operating profit		12,598	11,742
Other interest payable and similar expense	6	(163)	(54)
Profit before taxation		12,435	11,688
Taxation	7	(1,990)	(1,993)
Profit for the financial year		10,445	9,695

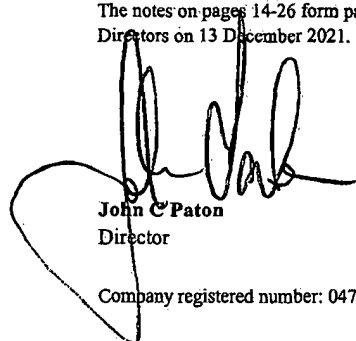
In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet
As at 31 March 2021

	Note	As at 31 March 2021 £000	As at 31 March 2020 £000
Non-current assets			
Tangible fixed assets	8	147	266
Right-of-use assets	9	739	972
Amounts owed by Group undertakings	10	2,985	2,985
		<u>3,871</u>	<u>4,223</u>
Current assets			
Debtors	10	46,513	38,030
Cash at bank and in hand	11	5,902	7,615
		<u>52,415</u>	<u>45,645</u>
Current liabilities			
Creditors: amounts falling due within one year	12	(36,216)	(28,095)
Lease liabilities	9	(229)	(221)
Corporation tax		(251)	(2,594)
		<u>(36,696)</u>	<u>(30,910)</u>
Net current assets		<u>15,719</u>	<u>14,735</u>
Total assets less current liabilities		<u>19,590</u>	<u>18,958</u>
Non-current liabilities			
Lease liabilities	9	(543)	(772)
Non-current liabilities	13	(545)	(93)
Deferred tax liability	14	(14)	(50)
		<u>(1,102)</u>	<u>(915)</u>
Net assets		<u>18,488</u>	<u>18,043</u>
Capital and reserves			
Called up share capital	15	275	275
Other reserves		181	181
Profit and loss account		18,032	17,587
		<u>18,488</u>	<u>18,043</u>
Shareholders' funds		<u>18,488</u>	<u>18,043</u>

The notes on pages 14-26 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 13 December 2021. They were signed on its behalf by:



John C Paton
Director

Company registered number: 04710715

Statement of changes in equity

	Called up share capital £000	Other reserves £000	Profit and loss account £000	Total equity £000
As at 1 April 2019	275	181	17,892	18,348
Total comprehensive income for the period				
Profit for the period	-	-	9,695	9,695
Transactions with owners				
Dividends	-	-	(10,000)	(10,000)
As at 31 March 2020	275	181	17,587	18,043
Total comprehensive income for the period				
Profit for the period	-	-	10,445	10,445
Transactions with owners				
Dividends	-	-	(10,000)	(10,000)
As at 31 March 2021	275	181	18,032	18,488

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 04710715 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRSs;
- Disclosures in respect of the compensation of Key Management Personnel; and
- Disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of Group settled share based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made no judgements, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2021.

The Directors have identified the following areas as key estimates that are considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Share-based payments

Management have estimated the share-based payments expense under IFRS 2. In determining the fair value of share-based payments, management have considered several internal and external factors in judging the probability that management and employee share incentives may vest and in assessing the fair value of share options at the date of grant. Such assumptions involve estimating a number of future performance and other factors. The fair value calculations have been externally assessed for reasonableness in the current and prior period.

1.3 Going concern

The financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons:

- (a) The Directors have prepared cash flow forecasts for a period of at least 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds to meet its liabilities as they fall due for that period.
- (b) The Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements.

The Company's forecasts and projections show that the Company has sufficient financial resources, both from the Company's robust balance sheet and its expected cash flow generation, sufficient for the going concern period. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility and the strength of the Group's cash position at 31 March 2021. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

Notes (continued)

1 Accounting policies (continued)

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents, preference shares, loan notes and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Trade and other debtors

Trade and other debtors are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade debtors is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade debtors' balances recorded in the Company's statement of financial position comprise a relatively small number of large balances and are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade debtors have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include historical collection experience for each customer, the assessed liquidity of key customers within the debtors balance, and other relevant macro-economic factors such as COVID-19 and Brexit in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2021, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Trade and other creditors

Trade and other payables are initially recognised at fair value and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitor for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6 Tangible fixed assets

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3-6 years straight line
Fixtures, fittings and equipment	4 years straight line
Leasehold improvements	5 years straight line

Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

1.7 Leases

Leases are negotiated on an individual basis, and for a variety of terms over which rentals are fixed with break clauses and options to extend for a further period at the then prevailing market rate. Rental agreements to which IFRS 16 has been applied, span anywhere from 13 months to 10 years. Contracts may contain both lease and non-lease components. Non-lease components are separately identifiable and excluded from the lease for the purpose of IFRS 16 implementation.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Alongside the rental leases associated with the office spaces, The Company also hold leases associated with office equipment. These form the population of leases subject to review under IFRS 16.

Measurement of lease liabilities

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate ("IBR"), unless the interest rate implicit to the lease is available for use.

Lease payments to be made subsequent to optional termination options have been included within the lease liability measurement, where it is reasonably certain that such options will not be exercised. Similarly, lease payments relating to extension options are only included wherein reasonable certainty has been achieved that these options will be exercised.

Lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be easily determined, the IBR is applied, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

The Company accounts for lease payments by allocating them to a finance cost element and against the lease liability. The finance cost is charged to profit or loss over the lease period.

Notes (continued)

1 Accounting policies (continued)

1.7 Leases (continued)

When the Company revises its estimate of the term of any lease (for example, if the probability of a lessee extension or termination option being exercised is re-assessed), the Company adjusts the carrying amount of the lease liability to reflect the payments to make over the revised term, which are discounted using a revised discount rate. In such cases, an equivalent adjustment is made to the carrying value of the right-of-use asset, with the revised carrying amount being amortised over the remaining (revised) lease term. If the carrying amount of the right-of-use asset is adjusted to zero, any further reduction is recognised in profit or loss.

In determining the IBR, the Company has:

- Adopted the rate implicit in the lease, where this rate can be readily determined, or used the IBR as assessed for each lease.
- Made adjustments to the IBR for relevant factors such as lease term, lease value, country and asset specific considerations.
- The Company has no material exposure to variable lease payments that qualify for accounting treatment under IFRS 16.

Measurement of right-of-use assets

The right-of-use asset for lease agreements entered into after transition date is measured on initial recognition as the amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs. Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as "short-term leases", and those with a low value as "low value leases". Consequently, no lease liability or right-of-use asset was calculated thereon. These leases are expensed in the statement of profit and loss. The Company also applies the practical expedient to combine leases with similar characteristics to a portfolio of leases for the purpose of applying the requirements of IFRS 16.

1.8 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists.

An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Right-of-use assets relating to the Company's leasing activities are recognised on the balance sheet at an amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs. Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. For further information refer to the "Leases" section above and note 9.

1.9 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the statement of financial position.

Notes (continued)

1 Accounting policies (continued)

1.9 Employee benefits (continued)

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the statement of profit or loss.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non market-based vesting conditions) at the date of grant.

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

At the end of each reporting period the assumptions underlying the number of awards expected to vest are adjusted for the effects of non-market-based vesting conditions to reflect the conditions prevailing at that date. The impact of any revisions to the original estimates is recognised in the statement of profit or loss, with a corresponding adjustment to equity. Fair value is measured by the use of a binomial model. The assumptions have been adjusted, based on management's best estimate, for the effects of non-transferability, lack of dividend until vesting and exercise restrictions.

The fair value calculations have been externally assessed as reasonable in the circumstances.

Regarding the share-based payments charge relating to employees of the Company, there is an intra-group recharge arrangement with the Company's ultimate parent undertaking, to reflect the benefits received by the respective entity in relation to employees granted share options.

The Company is considered to be the receiving entity in the arrangement, in line with the benefit received for services provided through ongoing employment. The Company's ultimate parent undertaking is deemed to be the settling entity in the intra-Group arrangement, as share options granted are in relation to ordinary shares of the parent, and recognises the share-based payments charge for the full Group in other reserves.

Amounts relating to employees who provide services directly to the Company are recorded within the profit and loss account in the form of a management recharge.

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting Plc shares. The Company has two distinct schemes, the 'Management Incentive Plan' (MIP) and the 'Employee Incentive Plan' (EIP). These are described below.

The Management Incentive Plan ("MIP")

The Company has a MIP to retain and incentivise the Directors and senior management.

Options granted in the current and prior years to the Directors and senior management of the Company are subject to the fulfilment of two or more performance conditions determined by the Group's remuneration committee.

MIP awards have either nil exercise price payable (or no more than a nominal purchase price payable) in order to acquire shares pursuant to options. MIP awards have either 3- or 4-year vesting periods from the date of grant and can be equity-settled only.

The Employee Incentive Plan ("EIP")

Under the EIP, a broad base of the Group's employees have been granted share options or share awards over a small number of Alpha Financial Markets Consulting Plc shares. The EIP has been structured as is most appropriate under the local tax, legal and regulatory rules.

Further disclosure of these schemes is provided within the Group's consolidated 2021 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting Plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

1.10 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.11 Revenue recognition

Recognition of revenue and client billing

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income represents the Company's personnel, subcontractor and related expertise and services sold to clients. Recharged expenses is the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company.

Notes (continued)

1 Accounting policies (continued)

1.11 Revenue recognition (continued)

The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc) as the services are specifically tailored to clients' projects and scope of work. The significant majority of Alpha's revenue is contracted on a time and materials basis, where the performance obligation is to provide consultancy resources at agreed day rates. In such contracts, revenue is recognised over time, as the number of consultant days worked are delivered. Modifications or extensions to such projects are recognised as delivered. Significant extensions, where the scope or price of the contract increases, are treated as separate contracts. Contracts accounted for on a time and materials basis are billed incrementally, typically monthly, for incurred time and materials.

Revenue recognition for fixed fee projects is based on the actual service provided to the end of the reporting period as a proportion of total services to be provided either over time or in line with internally or externally identified project milestones, depending on the nature of the performance obligations for the project. Material scope changes are managed via a new agreement with the client. Fixed fee projects are typically billed in accordance with the nature of the performance obligations when a right to payment crystallises.

For fixed fee milestone projects, revenue is recognised at a point in time upon delivery of each performance obligation and these projects are billed as contractual milestones are delivered and the right to payment exists.

Revenue is wholly attributable to the principal activities of the Group. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

Recognition of contract receivables

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables.

Recognition of contract liabilities

Where amounts have been invoiced in excess of work performed and recognised, the excess is a contract liability and is included within deferred income and valued in line with the nature of the project and related performance obligations as described above and recognised in future periods.

1.12 Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Group's revenue, including staff payroll and contractor costs, subsistence and travel that are directly attributable to the delivery of services and supporting growth.

1.13 Expenses

Interest receivable and interest payable

Interest payable and similar expenses include interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16. Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

Dividend expense

Dividend expenses are recognised in the statement of changes in equity on the date the entity's right to pay the dividend is established.

1.14 Taxation

Taxation expense on the result for the period comprises current and deferred tax. Current and deferred tax is recognised in the profit & loss account, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Notes (continued)

1 Accounting policies (continued)

1.15 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2021. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (Amendments to IFRS 4);
- Amendments to References to the Conceptual Framework in IFRS Standards;
- Definition of a Business (Amendments to IFRS 3);
- Definition of material (Amendments to IAS 1 and IAS 8); and
- Interest Rate Benchmark Reform (Amendments to IFRS 9, IAS 39 and IFRS 7).

The following amendments to existing standards have been issued and became effective in the year as a response to the COVID-19 pandemic:

- Covid-19-Related Rent Concessions (Amendment to IFRS 16), effective from 1 June 2020 and endorsed by the UK on 9 October 2020.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2021.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Turnover

	FY 21 £000	FY 20 £000
Rendering of services	48,431	46,190
Rechargeable expenses	51	841
	<u>48,482</u>	<u>47,031</u>
	FY 21 £000	FY 20 £000
<i>By activity</i>		
Management consulting	<u>48,482</u>	<u>47,031</u>

3 Auditor's remuneration

	FY 21 £000	FY 20 £000
Audit of these financial statements	<u>73</u>	<u>64</u>

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	FY 21	FY 20
Administrative	8	9
Sales	159	153
	<u>167</u>	<u>162</u>

Notes (continued)

4 Staff numbers and costs (continued)

The aggregate payroll costs of these persons were as follows:

	FY 21	FY 20
	£000	£000
Wages and salaries	20,786	17,591
Social security costs	1,944	1,726
Contributions to defined contribution plans	647	596
	<u>23,377</u>	<u>19,913</u>

At the year end, 3,481,647 (FY 20: 3,142,421) share options over the equity in Alpha Financial Markets Consulting Plc, the parent company, remained outstanding to the Company's management and employees. The weighted average remaining contractual period to vest for outstanding share options is 2 years. All share options outstanding at the year end date have a nominal exercise price. During the year 1,218,750 share options vested (FY 20: nil), of which 875,000 were exercised at nominal value, with the remaining 343,750 options outstanding at the year end. The Company has incurred a charge to the profit & loss account in FY 21 of £1,473,615 (FY 20: £641,433) relating to these schemes under IFRS 2 for employees and management that provide direct services to the Company.

5 Directors' remuneration

	FY 21	FY 20
	£000	£000
Directors' remuneration	3,359	5,455
Gain on share option exercises	3,126	-
Company contributions to money purchase pension plan	-	-
	<u>-</u>	<u>-</u>

During the year ended 31 March 2021, 12 Directors of the Company exercised 625,000 share options (FY 20: nil) at market value.

	Number of Directors	
	FY 21	FY 20
Benefits are accruing to the following number of Directors under:		
Money purchase schemes (retirements)	17	18
Long term share incentive plan	16	16
	<u>16</u>	<u>16</u>

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid director was £1,227,000 (FY 20: £439,635), of which £791,000 (FY 20: nil) relates to gains made on the exercise of share options.

Amounts paid or payable to the Company's Directors through the Company's parent undertakings have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to other Group companies.

6 Other interest payable and similar expense

	FY 21	FY 20
	£000	£000
Interest payable	119	-
Interest expense on lease liabilities	44	54
	<u>163</u>	<u>54</u>

Notes (continued)

7 Taxation

Recognised in the profit and loss account

	FY 21		FY 20	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		2,043		2,253
Adjustments in respect of prior periods		(16)		(293)
Total current tax		2,027		1,960
<i>Deferred tax (see note 14)</i>				
Origination and reversal of timing differences	(25)		8	
Effect of tax rate change on opening balances	-		4	
Adjustments in respect of prior periods	(12)		21	
		(37)		33
		1,990		1,993

Reconciliation of effective tax rate

	FY 21	FY 20
	£000	£000
Profit for the year	10,445	9,695
Total tax expense	1,990	1,993
Profit excluding taxation	12,435	11,688
Tax using the UK corporation tax rate of 19% (FY 20: 19%)	2,363	2,221
Reduction in tax rate on deferred tax balances	-	5
Non-deductible expenses	256	40
Fixed asset differences	(4)	-
Group relief claimed	(598)	-
Prior period group relief payments	189	-
Under / (over) provided in prior years	(216)	(273)
Total tax expense	1,990	1,993

The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2019/20 and 2020/21 tax years. An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. This change will increase the Company's future tax rate accordingly, but is expected to have an immaterial impact on the Company's future profits. Prior period group relief payments relate to payments made for group relief transferred in FY20.

8 Tangible fixed assets

	Leasehold improvements	Computer equipment	Fixtures, fittings and equipment	Total
	£000	£000	£000	£000
Cost				
Balance at 1 April 2020	295	716	129	1,140
Additions	-	79	-	79
Disposals	(65)	(52)	-	(116)
	230	744	129	1,103
Depreciation and impairment				
Balance at 1 April 2020	(208)	(556)	(110)	(874)
Depreciation charge for the year	(6)	(100)	(8)	(114)
Disposals	-	32	-	32
	(214)	(624)	(118)	(956)
Net book value				
At 31 March 2021	16	120	11	147
At 1 April 2020	87	160	19	266

Notes (continued)

9 Leases

(i) Amounts recognised in the statement of financial position

The balance sheet shows the following amounts relating to leases:

Right-of-use assets	Buildings	Equipment under lease	Total
	£000	£000	£000
<i>Cost</i>			
At 1 April 2020	1,195	11	1,206
Additions	-	-	-
Disposals and other movements	-	-	-
At 31 March 2021	1,195	11	1,206
<i>Depreciation</i>			
At 1 April 2020	(229)	(5)	(234)
Charge for the period	(229)	(4)	(233)
Disposals	-	-	-
At 31 March 2021	(458)	(9)	(467)
Net book value at 31 March 2021	737	2	739

A summary of the Company's lease liabilities as at 31 March 2021 is presented below:

	FY 21	FY 20
	£000	£000
Lease liabilities		
Current	229	221
Non-current	543	772
	772	993

(ii) Amounts recognised in the income statement

The income statement shows the following amounts relating to leases:

	FY 21	FY 20
	£000	£000
Depreciation of right-of-use asset	(233)	(234)
Short-term lease expense	-	(33)
Low-value lease expense	-	-
Variable service charges	(80)	(82)
Included in administration expenses	(313)	(349)
Interest expense on lease liabilities	(44)	(54)
Included in finance expenses	(44)	(54)

The income statement records, within operating profit, £33k relating to leases not within the scope of IFRS 16, such as leases with a lease term of less than 12 months as at the commencement of the lease and therefore treated as "short-term leases". There were no leases, with a lease term of more than 12 months that were designated as low value leases in the year.

Total rental payments made in the year on all lease tenors amounted to £0.3m (FY 20: £0.3m). Variable service charge costs associated with the Company's property leases represent future outflows relating to the lease arrangements are also not included within the IFRS 16 lease liability. These currently amount to £0.1m per annum and are expensed as incurred. The Company had no leases committed to but not yet commenced as at 31 March 2021, and any extension options with reasonable certainty at the date of signing these financial statements have been included within the lease. The Company has no income associated with sub-leasing arrangements, or gains/losses associated with sale-and-leaseback transactions in the current year.

Notes (continued)

10 Debtors

	FY 21 £000	FY 20 £000
Trade debtors	7,923	7,321
Amounts owed by Group undertakings	38,055	29,847
Other debtors	3	49
Prepayments and accrued income	532	813
	46,513	38,030

Trade debtors are stated after provisions for impairment and expected credit losses of £59,127 (FY 20: £157,603)

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Contract receivables are recognised in accrued income and relate to satisfied performance obligations recognised and not invoiced at the year end. All such contract receivables are expected to be realised within one year and classified within current assets. Contract receivables are recorded on a time spent basis and as performance obligations are met on agreed fees and day rates, billed in arrears. These are typically short-term timing differences which are administrative in nature at each year end date. Contract receivable payments are due on standard terms once the invoices are raised. The contract receivables movement in the year represents these timing differences across contracts at each year end. The following table sets out a reconciliation of the movement in contract receivables in the current and prior years.

	FY 21 £000	FY 20 £000
Contract assets relating to contracts with customers 1 April 2020	501	1,199
Increase in contract assets in the period	362	501
Contract assets released	(501)	(1,199)
Balance as at 31 March 2021	362	501

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £41,040,000 (FY 20: £32,831,000) of amounts owed by Group undertakings, the Company recognised £2,985,000 (FY 20: £2,985,000) within non-current assets and £38,055,000 (FY 20: £29,847,000) within current assets.

11 Cash and cash equivalents

	FY 21 £000	FY 20 £000
Cash and cash equivalents	5,902	7,615
Balance as at 31 March 2021	5,902	7,615

12 Creditors: amounts falling due within one year

	FY 21 £000	FY 20 £000
Trade creditors	763	679
Amounts owed to Group undertakings	26,941	19,678
Taxation and social security	1,617	2,080
Accruals and deferred income	6,895	5,658
	36,216	28,095

Notes (continued)

12 Creditors: amounts falling due within one year (continued)

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on short-term timing differences between performance obligations in some milestone or fixed fee contracts and their respective contracted payment schedules. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period. All current deferred income is expected to be recognised through revenue within one year.

	FY 21 £000	FY 20 £000
Contract liabilities relating to contracts with customers at start of period	94	220
Increase in contract liabilities in the period	152	94
Contract liabilities released	(94)	(220)
Balance as at 31 March 2021	152	94

Revenue arising from unperformed performance obligations are not material to the Company

13 Other non-current liabilities

	FY 21 £000	FY 20 £000
Other non-current liabilities	545	93
	545	93

Amounts classified as non-current liabilities in both the current and prior year relate to social security tax due on the Group's share option schemes.

14 Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	Assets		Liabilities		Net	
	FY 21 £000	FY 20 £000	FY 21 £000	FY 20 £000	FY 21 £000	FY 20 £000
Accelerated capital allowances	-	-	24	50	24	50
Other	(10)	-	-	-	(10)	-
Net tax (assets) / liabilities	(10)	-	24	50	14	50

In addition to the deferred tax asset above, the Company has no unrecognised gross tax losses (FY 20: £nil). The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2020/21 and 2021/22 tax years. This rate has been reflected in the calculation of deferred tax for the year ended 31 March 2021.

An increase in the UK corporation rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. An initial assessment is that this change would increase the Company's future current tax charge accordingly and increase the Company's existing deferred tax liability by an immaterial amount. A detailed analysis of the impact of these changes on the Company's tax position will be undertaken in due course.

Notes (continued)

15 Capital and reserves

Share capital

	FY 21 £000	FY 20 £000
<i>Allotted, called up and fully paid</i>		
275,000 ordinary shares of £1 each	275	275
	<u>275</u>	<u>275</u>
Shares classified in shareholders' funds	275	275
	<u>275</u>	<u>275</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

During the year, an ordinary dividend payment totalling £10,000,000 was made to the Company's sole shareholder Alpha Financial Markets Consulting Group Limited (FY 20: £10,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 20: £nil).

16 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

17 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.